

5 Economic Activity

5.0 Introduction

This chapter analyses inequalities in the economic activity dimension among persons aged 18-59 years with two different indicators of deprivation corresponding with one's lifecycle. Youths aged 18-25 years are considered deprived in economic activity if they are not in education, employment or training or if employed under unfavourable conditions (underemployed or in vulnerable employment described next). Persons aged 26-59 years are considered deprived in the economic activity dimension if: i) unemployed and not seeking for work, unemployed due to structural labour market issues (no work available, perception that one is too young or too old to work even though of working age), unemployed due to disability even though able to work or unemployed due to traditional gender roles (i.e., homemakers); ii) underemployed timewise (working less than 28 hours a week), or iii) in vulnerable employment – working in the informal sector “Jua Kali”, self-employed in the informal economy or agriculture, employed in small-scale agriculture, engaged in pastoral activities (self-employed or employee), or working in individual private households (e.g., domestic workers).

The indicator of youths (aged 18-25 years) not in education, employment or training as a share of the total youth population serves as a broader measure of potential youth labour market entrants as it includes the young persons outside the labour force as opposed to the conventional measurements of youth unemployment or inactivity rates. Accounting for aspects of the nature of employment to measure deprivation in the economic activity dimension among those aged 26-59 years aims to shed light into structural economic impediments in Kenya such as job and earnings security, social security, and capacity of the labour market to absorb the available workforce in full-time employment.

The rates of deprivation and horizontal inequality are discussed at national and subnational levels, and by socio-economic characteristics.

5.1 Background and Context

Several rights enshrined in the Constitution of Kenya (2010)⁷⁸ grant the right of all citizens to equal opportunities in economic and social spheres, employment, and social security. Article 41. Labour rights stipulates that “1) Every person has the right to fair labour practices, 2) Every worker has the right – (a) to fair remuneration and (b) to reasonable working conditions”. Article 43. Economic and social rights grants every person with the right to “(e) social security” and Article 27. Equality and freedom from discrimination stipulates that “(3) Women and men have the right to equal treatment, including the right to equal opportunities in political, economic, cultural and social spheres”.

Kenya boasts of a youthful population and interventions to tap on to the benefits of this segment of the population are outlined in various government plans and strategies, deriving from Article 55. Youth in its Constitution⁷⁹ which stipulates that “The State shall take measures, including affirmative action programmes, to ensure that the youth – (a) access relevant education and training, (b) have opportunities to associate, be represented and participate in political, social, economic and other spheres of life, and (c) access employment”. For example, the country has outlined a demographic

⁷⁸ Government of Kenya, 2010, Constitution of Kenya, available at: <http://kenyalaw.org/lex/actview.xql?actid=Const2010>

⁷⁹ Ibid.

dividend roadmap (Kenya Demographic Dividend Roadmap 2020 – 2030)⁸⁰, whose objective is to deliberately enhance Kenya's efforts to harness her youth potential to create a globally competitive and prosperous nation with a high quality of life for all citizens through the attainment of a demographic dividend.

The youth are the strength, wealth and drivers of innovation in Kenya. Deliberate and systematic efforts are necessary to appropriately equip and empower the youth to attain and realize their full potential and in turn, drive the attainment of development objectives set out in Kenya Vision (2030)⁸¹ and international commitments which include African Union Agenda (2063)⁸², United Nations Youth Strategy 2030⁸³ and several SDGs (2030), specifically targets of SDG 8 *"Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all"*, SDG 5 *"Achieve gender equality and empower all women and girls"* and SDG 10 *"Reduce inequality within and among countries"* (Box 5.1).

Box 5.1 Related SDG goals and targets

SDG 5. Achieve gender equality and empower all women and girls

Target 5.1. End all forms of discrimination against women and girls everywhere.

Target 5.4. Recognize and value unpaid care and domestic work through the provision of public services, infrastructure and social protection policies and the promotion of shared responsibility within the household and the whole family as nationally appropriate.

Target 5.5. Ensure women's full and effective participation and equal opportunities for leadership at all levels of decision-making in political, economic and public life.

SDG 8. Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all

Target 8.5. By 2030, achieve full and productive employment and decent work for all women and men, including for young people and persons with disabilities, and equal pay for work of equal value.

Target 8.6. By 2020, substantially reduce the proportion of youth not in employment, education or training.

SDG 10. Reduce inequality within and among countries

Target 10.2. By 2030, empower and promote the social, economic, and political inclusion of all, irrespective of age, sex, disability, race, ethnicity, origin, religion or economic or other status.

Target 10.3. Ensure equal opportunity and reduce inequalities of outcome, including by eliminating discriminatory laws, policies and practices and promoting appropriate legislation, policies and action in this regard.

Target 10.4. Adopt policies, especially fiscal, wage and social protection policies, and progressively achieve greater equality.

80 Government of Kenya and National Council for Population and Development, 2021, "Kenya's Demographic Dividend Roadmap", available at: <https://ncpd.go.ke/wp-content/uploads/2021/10/Kenya-Demographic-Dividend-Roadmap-2020-2030.pdf>

81 Government of Kenya, 2008, "Kenya Vision 2030", available at: https://countytoolkit.devolution.go.ke/sites/default/files/resources/Vision-2030-Popular-Version_0.pdf

82 African Union, 2015, "Agenda 2063 – The Africa we Want", available at: https://au.int/sites/default/files/documents/36204-doc-agenda2063_popular_version_en.pdf

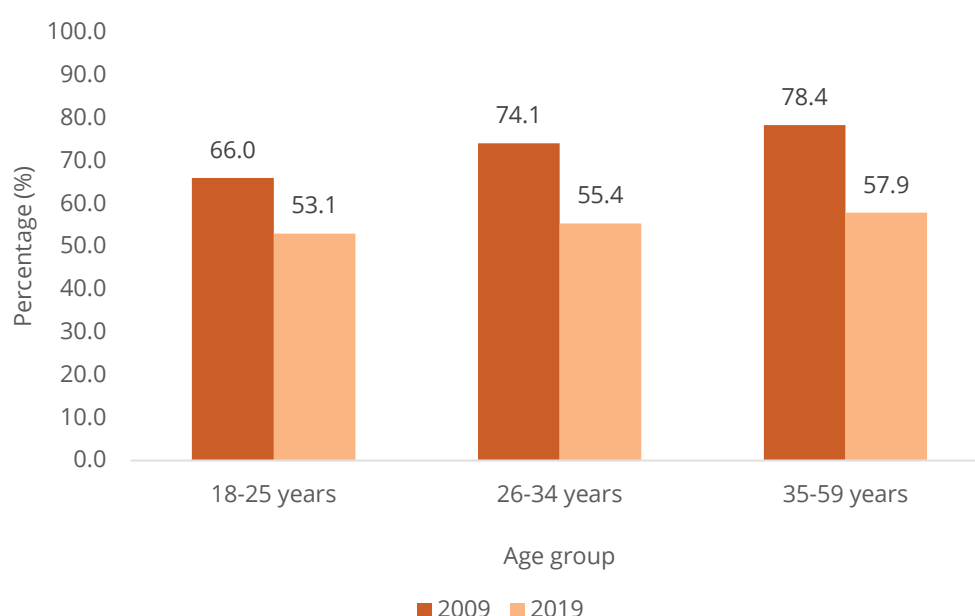
83 United Nations, 2018-19, "Youth 2030 – Working with and for Young People", available at: https://www.un.org/youthenvoy/wp-content/uploads/2018/09/18-00080_UN-Youth-Strategy_Web.pdf

5.2 Horizontal Inequality Analysis

5.2.1 National Level Analysis

More than half of Kenyans aged 18-59 years were deprived in the economic activity dimension in 2019, with the highest deprivation observed among persons in the age group 35-59 at 57.9 per cent, as shown in Figure 5.1. Compared to 2009, the deprivation rate decreased by more than 25 per cent among those aged 26-34 and 35-59 years, pointing to improvements in labour market outcomes due to improvements in educational attainment discussed in Chapter 3 and section 5.2.4 below. The share of youths aged 18-25 years who were not in education, employment or training or in vulnerable employment was 53.1 per cent in 2019 compared to 66 per cent in 2009, partly attributed to improvements in continued higher education.

Figure 5.1 Percentage (%) of youths and adults deprived in the economic activity dimension, by age group, 2009 and 2019

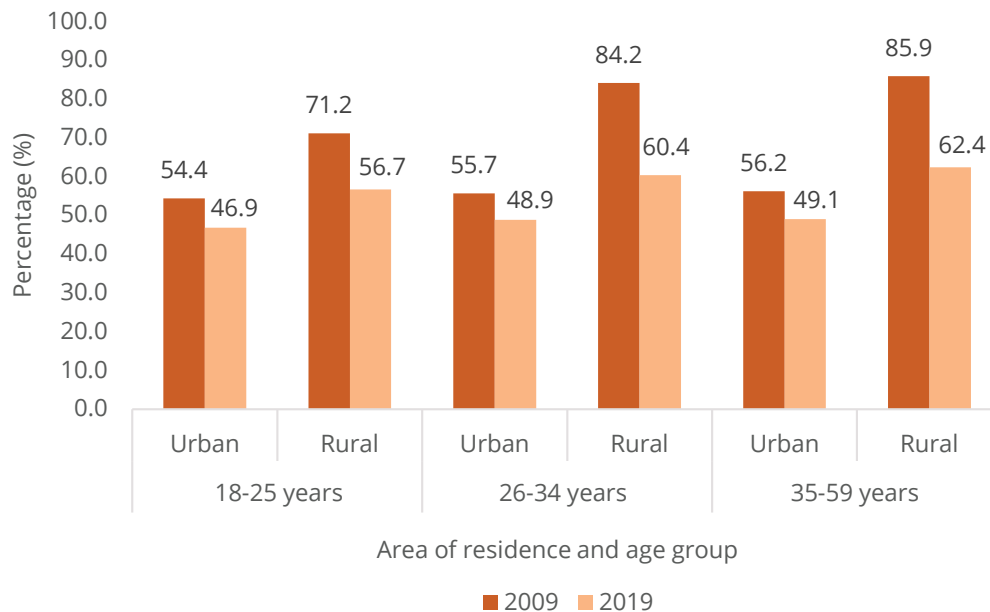


Source: KPHC 2009 and KPHC 2019

5.2.2 Analysis by Area of Residence

Inequalities in the economic activity dimension between rural and urban areas were evident across all age groups despite substantial improvements in rural areas between 2009 and 2019 (Figure 5.2). About 3 out of 5 persons aged 26-59 years in rural areas were deprived in economic activity in 2019 compared to less than half (49.0 per cent) in urban areas. Among youths aged 18-25 years residing in the rural areas, 56.7 per cent were not in education, employment or training or were in vulnerable employment in 2019 compared to 46.9 per cent of their peers in urban areas. The results show that the deprivation in economic activity among 26-59-year-olds in urban areas decreased by 13 per cent between 2009 and 2019, compared to the 28.0 per cent decline in rural areas. Reduction in deprivation incidence in economic activity among youths aged 18-25 years in rural areas was significantly higher compared to urban areas – 20.4 per cent and 13.8 per cent, respectively. This result suggests that education and employment programmes targeted to young adults need to address their particular needs based on their area of residence.

Figure 5.2 Percentage (%) of youths and adults deprived in economic activity, by age group and area of residence, 2009 and 2019

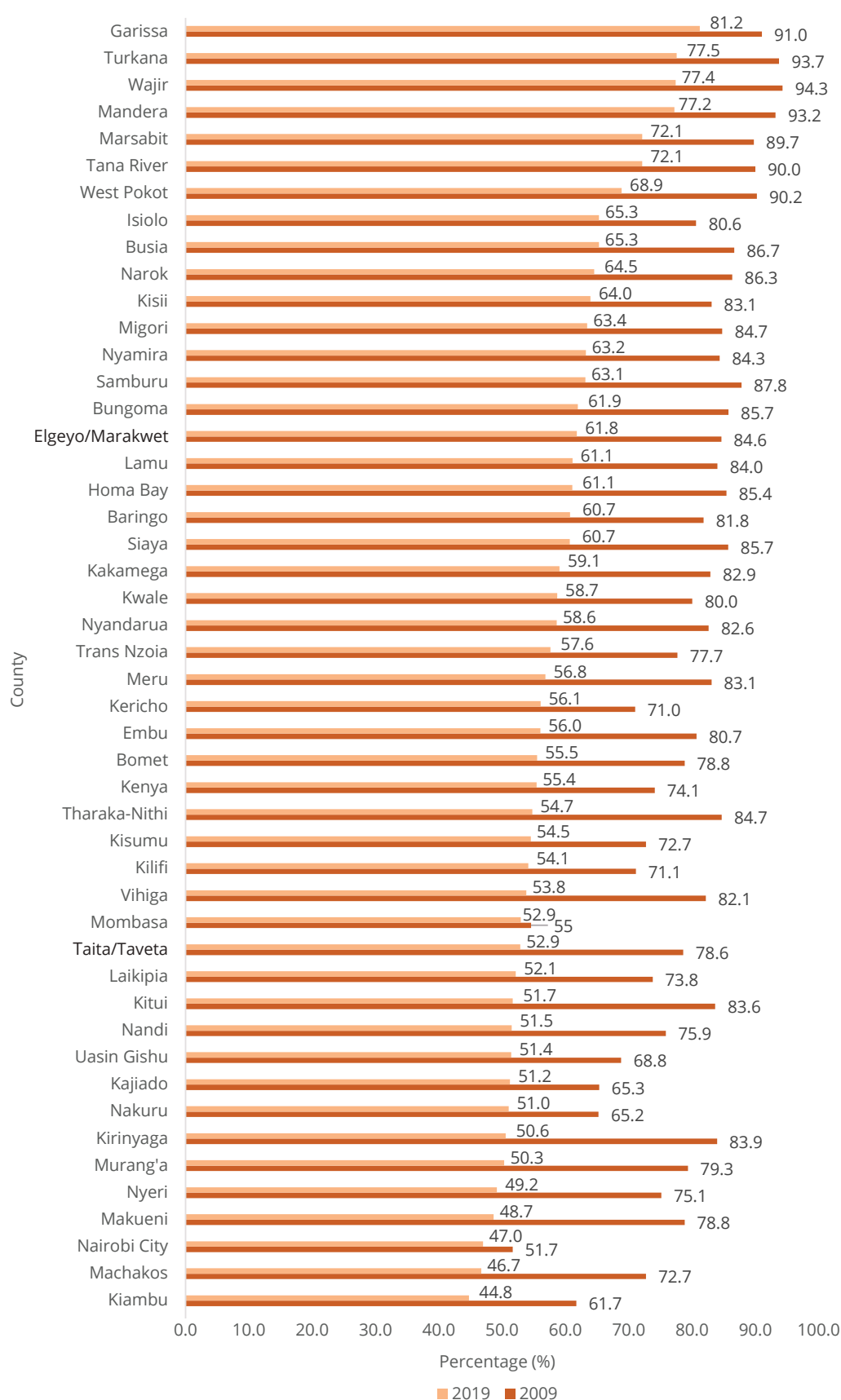


Source: KPHC 2009 and KPHC 2019

5.2.3 Analysis by County

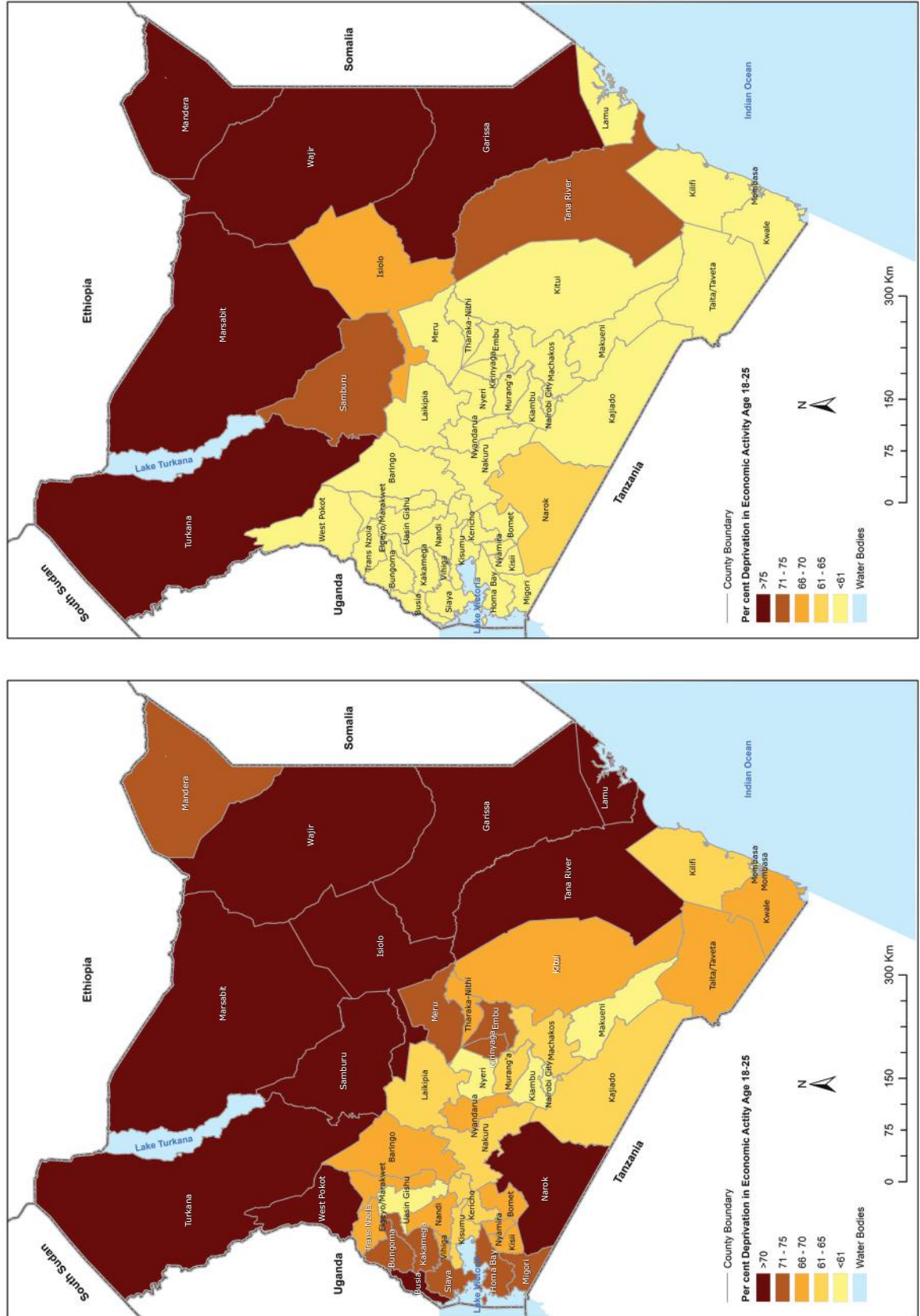
Analysis of the results by county of residence shows that inequalities in economic activity were evident among all age groups and that deprivation decreased substantially between 2009 and 2019 across all counties. In 2019, 8 in 10 youths aged 26-34 years in Garissa were deprived in economic activity compared to 4 out of 10 of their peers residing in Kiambu County, and the national average of slightly over half (55.4 per cent) (Figure 5.3). Along with Garissa, Turkana, Wajir, Mandera and Marsabit ranked among the most deprived counties in economic activity among all age groups in 2019 (Annex 6, Map 5.1). Kiambu, Machakos, Nairobi City, Makueni, Nyeri, Nandi and Uasin Gishu counties on the other hand had the lowest deprivation rates in 2019 ranging between 44 and 51 per cent. In 2009, Turkana, Mandera, Garissa, West Pokot, Wajir, Samburu and Tana River ranked as the most deprived counties in economic activity across all age groups (deprivation rates 80-96 per cent), while Nairobi City, Mombasa, Kiambu, Nakuru, Kajiado, Makueni and Uasin Gishu had the lowest deprivation incidence rates across all age groups, ranging between 35 and 70 per cent (Annex 6, Map 5.1). It must be noted that these counties comprise some of the largest urban areas in Kenya. Annex 6 shows county deprivation rates in economic activity for four age groups – 18-25 years, 26-34 years, 18-34 years, and 35-59 years – for 2009 and 2019.

Figure 5.3 Percentage (%) of youths deprived in economic activity, age 26-34 years, by county, 2009 and 2019



Source: KPHC 2009 and KPHC 2019

Map 5.1 Percentage (%) of youths deprived in economic activity, age 18-25 years, by county, 2009 (left) and 2019 (right)

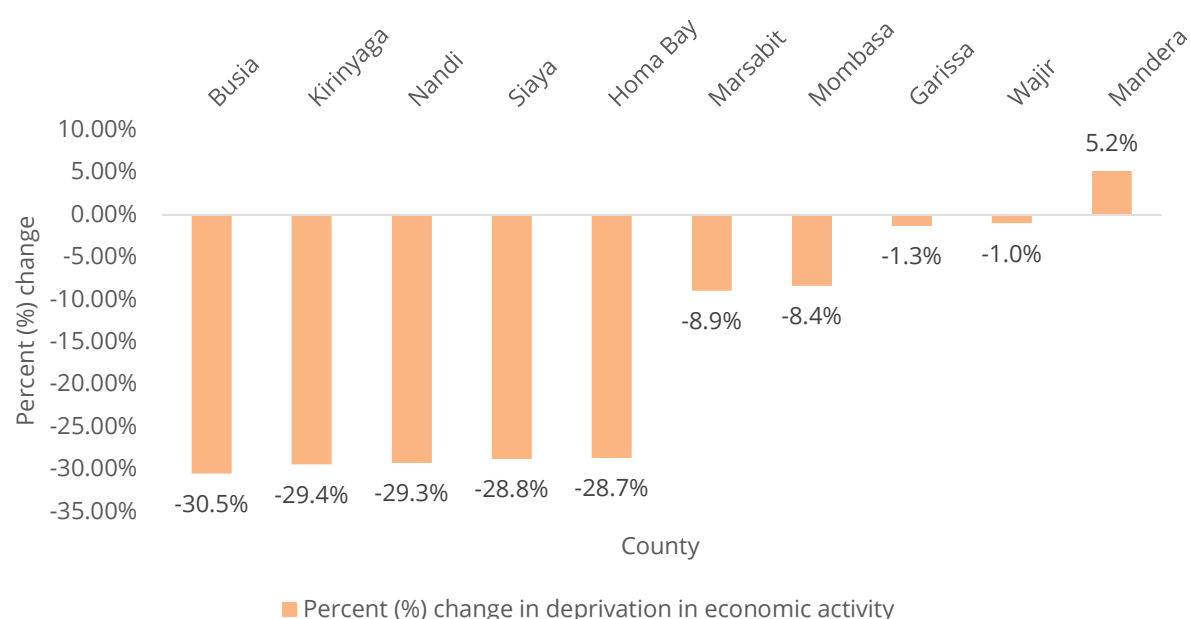


Source: KPHC 2019

Source: KPHC 2009

With exception of Mandera, all countries showed progress in deprivation in economic activity between 2009 and 2019 (Annex 6). Machakos, Makueni, Kitui, Kirinyaga, Nandi, Murang'a, Siaya, Homa Bay and Vihiga recorded the most significant progress across all age groups, whereas the lowest decline in deprivation rates in economic activity were found in Mandera, Nairobi City, Mombasa, Garissa, Turkana, Marsabit and Wajir. Figure 5.4 shows that the share of youths aged 18-25 years who were not in education, employment or training or who were in vulnerable employment decreased by nearly 30 per cent between 2009 and 2019 in Busia, Kirinyaga, Nandi, Siaya, and Homa Bay, pointing also to improvements in educational attainment, continued training, and employment. On the other hand, in Wajir and Garissa counties the progress was only meagre (around 1 per cent), in Mombasa and Marsabit counties between 8.4 and 8.9 per cent, respectively. In Mandera the share of youth deprived in economic activity increased by 5.2 per cent between 2009 and 2019.

Figure 5.4 Percent (%) change in deprivation in economic activity between 2009 and 2019, age 18-25 years, five top performing counties (left) and five poorest performing counties (right)



Source: KPHC 2009 and KPHC 2019

5.2.4 Socio-Economic Drivers of Inequality

Disaggregation of deprivation rates by demographic and socio-economic characteristics in Table 5.1 provides insights into structural inequalities in opportunities in economic activity across all age groups. This is meant to help identify population groups that require interventions designed to improve their educational attainment, skills, and their competitiveness in the labour market.

Despite improvements in gender equality in educational outcomes among children and youth, deprivation rates by sex show that women of all age groups were more likely to be deprived in economic activity than men. The gap was the widest among youths aged 26-34 years. In 2019, nearly 2 in 3 of women in this age group (65 per cent) were outside the labour market or in vulnerable employment compared to 47 per cent of their male peers, or 26 per cent more. Except among youths aged 18-25 years, persons with disability were also more likely to be deprived in economic activity.

Characteristics of the household head such as sex and educational attainment were also associated with labour market outcomes. The share of adults living in households headed by women and deprived in economic activity was higher than that of those belonging to men-headed households – e.g., 62.3 per cent compared to 55.8 per cent, respectively of persons aged 35-59 years. The educational attainment of the household head was even more crucial. More than half – 58.3 per cent - of youths aged 26-34 years living in households the head of which had not completed secondary education were deprived in economic activity compared to 44.6 of their peers living in households the head of which had attained secondary or higher education.

Deprivation in economic activity was also higher among households with a larger number of children under 18 years and among households headed by single mothers and single or both grandparents (among the age group 35-59 years), pointing to the need to prioritize these population groups in skills development, active labour market/activation, and social protection cash transfer programmes.

Table 5.1 Percentage (%) of adults aged 18-59 years deprived in economic activity, by demographic and socio-economic characteristics, 2019

Individual and household characteristics		18-25 years	26-34 years	35-59 years
National		53.1	55.4	57.9
Sex	Woman	59.4	63.2	65.1
	Man	46.2	46.7	50.8
Disability status	Person with disability	51.9	56.2	60.1
	Person without disability	53.1	55.4	57.5
HH head is a woman	HH head is a woman	51.9	57.9	62.3
	HH head is a man	53.7	54.2	55.8
HH head educational attainment	HH head completed secondary/higher education	45.7	44.6	41.1
	HH head not completed secondary education	51.4	58.3	59.8
No. of children in the HH	No children<18 in HH	47.2	44.0	52.8
	1-2 children<18 in HH	56.9	54.7	57.1
	3-4 children<18 in HH	52.8	62.5	59.3
	5+ children<18 in HH	52.9	66.2	65.4
HH type and composition	Single member HH	45.5	40.7	49.0
	HH head and spouse/s	67.9	48.3	56.8
	Male HH head and children	43.9	58.9	55.3
	Female HH head and children	47.0	63.9	64.9
	Nuclear family	58.9	60.4	58.6
	Grandfather with grandchildren	44.4	56.7	64.0
	Grandmother with grandchildren	42.9	54.8	72.0
	Grandparents with grandchildren	37.6	52.6	68.2
	Mixed HH-nuclear/other relatives & non-relatives	56.3	49.0	48.3
	HH head and other relatives	51.0	54.9	60.3

Source: KPHC 2009 and KPHC 2019

5.2.4.1 *Regression Analysis: Factors Associated with Deprivation in Economic Activity*

Regression analysis of factors associated with deprivation in economic activity among youths aged 18-34 years in 2019 shows that individual and household characteristics, as well as where the youths reside are important (Figure 5.5 and Annex 16.4). Young women are more likely to be deprived in economic activity than young men. Likewise, youths with disabilities, youths living in labour constrained households, and those who have not completed at least secondary education are more likely to be deprived in economic activity. The likelihood of being deprived in economic activity also increases with age albeit at a diminishing rate. On the other hand, youths from urban areas, living in households where the head has completed secondary or higher education, and where the head is in paid employment are less likely to be deprived in economic activity, possibly due to better opportunities and financial wellbeing associated with the latter. Compared to youths residing in Mombasa, youths in other counties are slightly less likely to be deprived in economic activity but this result needs further investigation as a lot of these counties have higher deprivation rates than Mombasa in the dimension.

Figure 5.5 Factors associated with deprivation in economic activity, age 18-34 years, 2019

N=1,180,550

*** p<0.01, ** p<0.05, * p<0.1

Source: KPHC 2019

5.3 Conclusion and Recommendations

Kenya made major progress in improving labour market outcomes between 2009 and 2019, especially in rural areas and partly attributed to improvements in educational attainment. Nevertheless, more than half of youth and adults aged 26-59 years were deprived in economic activity in 2019, and 53 per cent of youth aged 18-25 years compared to 66 per cent in 2009 were not in education, employment or training or in vulnerable employment, noting very meagre progress during the decade. Deprivation in economic activity in urban areas decreased by less than 14 per cent across most age groups during the decade.

The inequalities in economic activity by area of residence remained widespread despite the substantial progress in rural areas and counties like Machakos, Makueni, Kitui, Kirinyaga, Nandi, Murang'a, Siaya, Homa Bay and Vihiga. Nearly 2 in 3 persons aged 26-59 years in rural areas were deprived in economic activity compared to less than half of their peers in urban areas. Across counties, deprivation in economic activity was significantly higher in Garissa, Turkana, Wajir, Mandera and Marsabit in 2019 where 7 out of 10 of the 26-34-year-olds were deprived in economic activity compared to 4 out 10 youths in Kiambu.

Deprivation in economic activity is associated with socio-economic characteristics of adults aged 18-59 years. Women, persons with disability, members of households headed by women, and those living in households the head of which has not completed at least secondary education are more disadvantaged in the labour market, continued education, and skills advancement. Moreover, the share of youths and adults deprived in economic activity living in households headed by single mothers and single or both grandparents are higher, pointing to issues with intersecting inequalities and prioritization of these groups in activation measures.

To address deprivation and inequalities in economic activity outcomes, it is necessary to:

- i) Prioritize the furthest left-behind areas and counties in design of interventions and financing. Garissa, Turkana, Wajir, Mandera, Marsabit, West Pokot, Samburu and Tana River did not only rank among the most deprived counties in 2019, but also showed the least progress over the decade. Additionally, progress in economic activity between 2009 and 2019 was meagre among youths aged 18-25 years in urban areas. This calls for careful consideration in design of interventions to cater to the differing needs of youth residing in urban versus rural areas, as well as the differences in the labour market overall.
 - a) Past programmes and financing mechanisms should be carefully reviewed – particularly among the counties that showed little progress over time (Marsabit, Garissa, Wajir, and Mandera) – as well as those that made major progress to explore the best practices.
- ii) Enhance labour market activation of youths aged 18-25 years with special attention to continued education including technical and vocational education and transition from education to work.
- iii) Encourage out-of-school youth to re-enter general education through flexible subsidized second chance programmes.
- iv) Social protection programmes targeting social inclusion should include components of employment, activation, and skills development/advancement measures and prioritize the most disadvantaged groups. These include women, persons with disabilities, members of households headed by single mothers and grandparents, larger households, and labour constrained households.